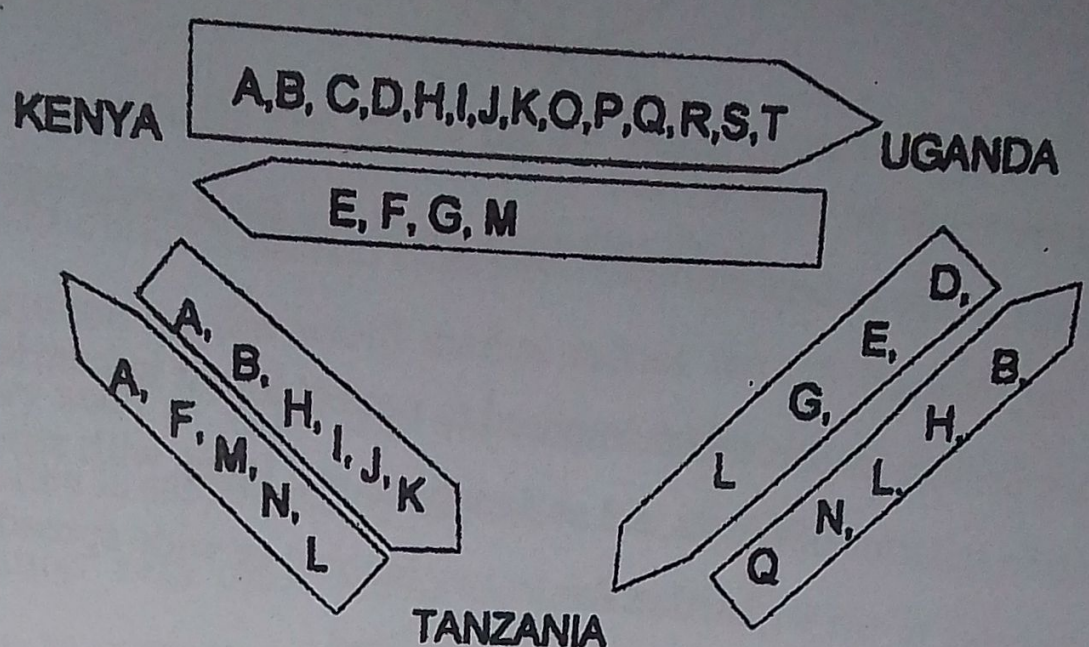
MADE WITHIN EAST AFRICA



B – Beverages	P – Paper	J - Wheat
C – Cement	S – Salt	K - Chemicals
E – Electricity	T – Textiles	L - Electrical
F – Fish	A – Edible oil	N – Metal products
I – Insecticides	D – Foot ware	Q – Sisal products
M – Maize	G - Beans	
O – Oil	H - Cigarettes	

Kenya is the largest exporter of manufactured products partly because it is the most industrialized country in East Africa. However coffee remains the most important export to the outside regions.

Factors favouring inter-state in East Africa

1. Differences in resource endowments and so countries have to trade and get what they do not have.
2. Lack of self-sufficiency in resources hence the need to trade and get what they lack e.g. Uganda produces many food stuffs such as maize and beans which are exported to Kenya.
3. Political stability within the region which discourages production in sufficient quantities hence the need for imports to cover up the shortfalls.
4. Accessibility to well-developed transport systems by road, railway and air.
5. Reduction and elimination of trade barriers by the East African Community.
6. The need to earn foreign exchange for international trade.
7. Lower transport costs since the countries are near each other.
8. The need to widen the market for the products produced within the country's borders.
9. The need to generate employment opportunities for the rapidly growing population.
10. Favourable co-operation and diplomatic ties.

Factors limiting inter-state trade in East Africa

1. The countries produce more or less similar products making their exchange unnecessary e.g coffee, tea, sugar and tocacco.
2. Trade barriers such as high import duties imposed to protect infant industries at home.
3. Foreign intervention in terms of grants, aid or donations and loans with strings attached.
4. Low purchasing power of the population due to low income or wide spread poverty.
5. Limited foreign exchange to purchase the goods required.
6. Development of import substitution industries which produce goods which were formerly imported.
7. Low quality of the products which results in customer's preference of goods from the developed world.

Characteristics of East African trade

1. Exports are dominated by agricultural products.
2. Exports mainly consist of semi-processed agricultural products.
3. Imports consist of mainly manufactured commodities and petroleum.
4. Imports exceed the exports hence have unfavourable balance of trade.
5. The major trading partners are USA, EU, China and Japan.

Dangers of depending on the exportation of agricultural products

1. Agricultural products are prone to climatic hazards such as drought and floods that cause fluctuations in products for sale. Guaranteed output is not assured.
2. There are various pests and diseases which attack the crops leading to reduced quantity and quality of export produce e.g. lace bug and berry borer affecting coffee while tea is attacked by red spider mites, weevils and beetles.
3. Agricultural products such as fruits, flowers and vegetables are perishable and difficult and expensive to handle for export as they need to be dispatched quickly with a fast means of transport like air to far markets.
4. Losses occur due to poor storage e.g. of coffee beans which reduces on the quality and quantity of export.
5. Price of agricultural commodities fluctuate widely on the world market depending on output and seasons which lead to decrease in income when prices fall thus affecting the income of a country.

...factured goods.

Agricultural products fetch low prices on the world market compared to the manufactured goods which discourages farmers from exporting them.

7. Cheaper substitutes on the world market reduce the market for agricultural products e.g. synthetic fibers such as nylon and polyester substituted for cotton and synthetic fibres for sisal, while coffee is substituted by tea, cocoa and vanilla.
8. High competition with other producers leading to loss of market e.g. the East African countries have to compete with countries like Brazil, El Salvador and Costa Rico for the coffee market.
9. Agricultural products are bulky and have low value which makes them expensive to export hence low profit margin.
10. Growing of the same types of crops over many years for export has resulted in decline in soil fertility and reduction in agricultural output for export e.g. tobacco, coffee, cloves, sugar canes and maize.
11. Agricultural products for export such as coffee are limited by quotas on the world market thus limiting incomes received from such exports.
12. There is increasing competition for land with other land uses such as settlement, forestry, tourism and mining which is limiting agricultural land to produce for export.
13. Many agricultural products are seasonal and cannot be stored for long while still fresh e.g. fruits and vegetables, therefore a steady supply throughout the year cannot be guaranteed.
14. Most farmers produce on small scale and are reluctant to adopt modern agricultural production methods which lead to massive output for export.
15. Some agricultural areas such as Southern Highlands of Tanzania, Bundibugyo and Kanungu have poor accessibility which limits acquisition of agricultural produce for export.

The East African governments are taking steps to solve the problems of over depending on agricultural exports. This is mainly by diversification of their export base to include exporting fish, minerals, manufactured /processed goods, forest products, art and craft products as well as promoting tourism as an invisible export.

Steps being taken to alter the nature trade in East Africa

1. Establishing industries to reduce the importation of manufactured goods.
2. Establishing industries to process agricultural raw materials instead of exporting raw materials.
3. Protecting of local industries by levying high import duties on similar goods produced at home so as to reduce imports of manufactured goods.

4. Attracting of foreign investors to promote the manufacture of commodities for both home and export markets.
5. Diversifying of exports from the mainly traditional exports to include non-traditional exports.

Likely examination questions

1. a. Describe the characteristics of the East African trade.
   b. Using our knowledge of trade among the East African countries, state what;
      i. Tanzania currently imports from Uganda
      ii. Uganda currently imports from Kenya
   c. Which factors encourage inter-state trade among the East African Countries?
2. a. Draw a sketch map of Tanzania and on it mark and label
      i. Towns Dar es Salaam, Dodoma and Arusha.
      ii. Lake Manyara and Tanganyika.
      iii. Tazara railway.
      iv. Islands Pemba and Zanzibar.
   b. State two ways in which the Tazara railway line is useful to Tanzania.
   c. What is the main cash crop transported along the railway line between the interior and the Coast?
   d. Give three reasons to explain why the road network of Tanzania is the least developed in East Africa.

a. Draw a sketch map of East Africa and on it mark and label:
   i. Lakes; Turkana and Rukwa.
   ii. Towns Mombasa, Nairobi and Kampala.
   iii. Kampala-Mombasa road.
   iv. Tanga and Dar es Salaam ports.

b. State the;
   i. advantages of using road transport
   ii. disadvantages of using railway transport

c. Explain the factors which have influenced the distribution of transport routes shown on the map